

# Mediation Act, 2011

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Mediation Act, 2068

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Amending Acts

1. Mediation (First Amendment) Act, 2072 2072.01.12
2. Some Nepal Acts Amendment Act, 2072 2072.11.13

Act No. 2 of the year 2068

An Act made to provide for procedures relating to mediation

Preamble: Whereas, it is desirable to make legal provisions relating to the procedure of mediation in order to resolve disputes through mediation by a speedy, prompt and simple process, to make the dispute resolution process less expensive and to increase the access of the general public to justice thereby maintaining the interest and convenience of the general public,

Now, therefore, the Constituent Assembly has enacted this Act pursuant to Sub-article (1) of Article 83 of the Interim Constitution of Nepal, 2063. Chapter-1

Preliminary

1. Short title and commencement: (1) This Act may be called the "Mediation Act, 2068".

(2) This Act shall commence in such district as specified in a notice published by the Government of Nepal in the Nepal Gazette, from the date so specified. 2. Definitions: In this Act, unless the subject or context otherwise requires,-

(a) "Quasi-judicial body" means a body other than a court which is authorized to conduct and settle proceedings of a case.

(b) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules framed under this Act.

(c) "Council" means the Mediation Council constituted pursuant to Section 26.

(d) "Party" means a party to a dispute and that term shall also denote the plaintiff and defendant in the context of a case.

(e) "Certificate" means a certificate provided pursuant to Sub-section (1) of Section 21 to work as a Mediator.

(f) "Case" means a dispute pending in a case hearing body.

(g) "Case hearing body" means a court and that term also denotes a quasi-judicial body.

(h) "Mediation" means a process adopted by the parties to resolve a dispute or case with the assistance of a

Mediator.

(i) "Mediator" means a Mediator appointed pursuant to this Act to cause discussion on the dispute between the parties, create an amicable environment and encourage them to reach an agreement on that matter. Amended by Some Nepal Acts Amendment Act, 2072.(j) "Local level" means a Rural Municipality or Municipality. Chapter-2

## Settlement of Dispute through Mediation

3.

Dispute may be resolved through mediation: (1) Where any agreement provides for the settlement of a dispute through mediation, such agreement or a dispute arising thereunder shall be resolved by completing the procedure referred to in such agreement. (2) Notwithstanding anything contained in Sub-section (1), if the parties wish to resolve by mediation a dispute which is capable of being compromised according to the prevailing law, whether filed or not filed before a case hearing body, they may resolve it by adopting the procedure pursuant to this Act. (3) If the parties wish to resolve a case filed in a case hearing body through mediation pursuant to Sub-section (2), they may submit a petition to the concerned case hearing body at any time mentioning such fact, and upon receipt of such petition, the case hearing body shall order that such case, even if it is at any stage, be resolved through mediation. (4) If a case hearing body deems that a case filed before it is suitable for resolution through mediation procedure, the case hearing body may order the resolution of the dispute through mediation. Deleted by the first amendment. (5) Notwithstanding anything contained in Sub-sections (3) and (4), if a dispute includes matters that are not capable of resolution through mediation procedure in addition to matters that can be resolved through such procedure, the case hearing body shall not order the resolution of the dispute through mediation for such matters. 4. Appointment of mediator: (1) Where any provision is made in the agreement for appointment of a mediator, appointment shall be made accordingly, and where no such provision exists, a mediator shall be appointed pursuant to this Act. (2) While appointing a mediator pursuant to Sub-section (1), the parties shall appoint by mutual agreement. 5. Number of mediators: (1) Where the number of mediators is specified in the agreement, it shall be as specified, and where not specified, one or three mediators shall be appointed upon determining the number by agreement of the parties. (2) If the parties agree to appoint one mediator, appointment shall be made by agreement of both parties, and if three mediators are to be appointed, each party shall appoint one, and the parties themselves or the two mediators so appointed shall appoint the third mediator. (3) If three mediators are appointed, the third mediator shall act as the coordinator. 6.

Assistance may be obtained for appointing mediator: (1) If any institution performing mediation related work has made separate provisions of regulations or procedures for the appointment of mediators, the parties may appoint a mediator according to such regulations or procedures. (2) For the appointment of a mediator pursuant to Sub-section (1), the parties themselves or pursuant to an order of the court may request such institution to recommend and send the name of a person to be a mediator for appointment. (3) Upon such request pursuant to Sub-section (2), such institution shall, considering the nature of the dispute and the subject matter to be mediated, the qualification, competence and capacity to maintain impartiality of the person to be a mediator, and in case of a dispute of an international nature, also the nationality of the person to be a mediator, recommend the name of a suitable person or appoint a suitable person. (4) Notwithstanding anything contained elsewhere in this Section, if the parties to a dispute wish to take the assistance of the local level in relation to the appointment of a mediator, they may take the assistance of the concerned Amended by Some Nepal Acts Amendment Act, 2072. local level. (5) For the purpose of providing assistance

pursuant to Sub-section (4), the Amended by Some Nepal Acts Amendment Act, 2072. local level shall prepare and maintain a list of mediators who are qualified pursuant to this Act, and shall assist in appointing a suitable person as mediator by consulting with the parties from among the persons included in such list. 7. Appointment of mediator by case hearing body: (1) Notwithstanding anything contained in Section 5 or 6, if an order has been made by the case hearing body pursuant to Sub-section (4) of Section 3 to resolve the dispute by completing the mediation procedure, or if the parties are unable to appoint a mediator pursuant to Section 5, the case hearing body shall specify a certain time period and order the concerned parties to submit the name of the mediator. (2) Upon such order pursuant to Sub-section (1), the concerned parties shall, within the period specified in that order, submit the name of the mediator by mutual agreement before the case hearing body, and the case hearing body shall appoint the person whose name is submitted upon agreement between the parties as mediator. (3) If the parties are unable to submit the name pursuant to Sub-section (2), the case hearing body shall, after obtaining the consent of the parties from among the persons qualified to be mediators, appoint a person deemed suitable as mediator. 8.

Appointment of mediator in special circumstances: (1) If a person appointed as a mediator refuses to work as a mediator, becomes unable to work, resigns, dies, or the position of the mediator becomes vacant for any other reason, another mediator shall be appointed within the period agreed upon by the parties by completing the same procedure by which the mediator was appointed. (2) If a mediator cannot be appointed pursuant to Sub-section (1), a mediator shall be appointed by completing the procedure pursuant to Section 7. 9. Order to appoint mediator: (1) Notwithstanding anything contained elsewhere in this Chapter, where a dispute is to be resolved through mediation pursuant to Sub-section (3) or (4) of Section 3, the case hearing body of such case shall order the appointment of a mediator. (2) While ordering the appointment of a mediator pursuant to Sub-section (1), an order shall be made to appoint a person chosen by the party from among the persons who have obtained a certificate to work in the capacity of a mediator pursuant to Sub-section (1) of Section 21. 10. Notice to be given if not willing to work as mediator: If a person appointed as a mediator pursuant to this Chapter does not wish to work as a mediator, he/she shall give written information thereof to the case hearing body within seven days of receiving the notice of appointment. 11. Information to be given by mediator: (1) If a person appointed as a mediator pursuant to this Chapter finds that the dispute is of a nature that prevents him/her from working independently and impartially, or if there is any circumstance that gives reasonable ground for suspecting that he/she cannot work in such a manner, he/she shall, as soon as possible, give information thereof in writing to the parties to the dispute and, in the case of a dispute ordered by a case hearing body, to such case hearing body. (2) One copy of the information given pursuant to Sub-section (1) shall be included in the case file related to the dispute. 12.

Things to be observed by mediator: A mediator shall observe the following matters in the course of his/her work:- (a) Mediation related work shall be conducted fairly, (b) There shall be no bias, prejudice, or predisposition towards any party, or any conduct that appears so, (c) Mediation shall not be conducted by causing fear, threat, deception or inducement to any party, (d) There shall be no financial transaction with any party to the dispute during the subsistence of the dispute, (e) No act shall be done contrary to this Act or the rules framed under this Act in relation to conducting mediation, (f) No financial or other interest-related activity or transaction shall be conducted with a party in the course of mediation related work, (g) The code of conduct required to be observed while performing mediation work shall be observed. 13. Mediator may be removed: (1) If, after the appointment of a person as a mediator, it comes to light that he/she is not qualified pursuant to Section 22, such mediator shall be removed immediately, by the parties themselves if they appointed the mediator, through the institution if the mediator was appointed by an institution, and by such body if the mediator was appointed by a case hearing body. (2) If, from a complaint filed by any party, or if the

case hearing body itself comes to know from any source that a mediator has done any act as follows, the case hearing body may remove such mediator at any time:- (a) If he/she has failed to observe the matters pursuant to Section 12, (b) If he/she has done any act unfairly or fraudulently with the subject matter of the dispute or the parties to the dispute, (c) If there are continual errors or irregularities in his/her work or mediation process, (d) If he/she unnecessarily delays, prolongs, or shows lack of interest in mediation related work, (e) If he/she breaches the confidentiality of matters occurring in the procedural aspects of mediation in a manner detrimental to the interests of the parties without their permission. Chapter-3 Procedure Relating to Mediation 14. Commencement of mediation procedure: (1) The mediation procedure shall be deemed to have commenced in relation to a dispute not filed in court, upon one party giving notice to the other party; in relation to a dispute pursuant to Sub-section (3) of Section 3, upon the parties to such dispute filing a petition before the concerned case hearing body; or in relation to a dispute under Sub-section (4) of Section 3, upon the case hearing body ordering the resolution of the dispute through mediation.

Provided that, the procedure for community-based mediation shall commence after the concerned party requests the community to resolve the dispute.

(2) After the commencement of the mediation procedure, any party to the dispute shall submit such dispute before the mediator.

(3) After the commencement of the mediation procedure pursuant to Sub-section (1) and until its conclusion, no case hearing body shall intervene in relation to such dispute, except as otherwise provided in this Act. 15. Procedure relating to dispute resolution: (1) The procedure for resolving disputes through mediation shall be as determined by the concerned parties.

(2) Where the parties have agreed to resolve a dispute through mediation according to the regulations made or the procedure adopted by any institution performing mediation related work, the dispute shall be resolved according to such regulations or procedure.

(3) When resolving a dispute through mediation pursuant to the order of a case hearing body under Sub-section (4) of Section 3, if the concerned case hearing body has determined any procedure or ordered to adopt such procedure, the dispute shall be resolved through mediation according to such procedure.

(4) In the absence of provisions of a procedure or regulations as mentioned in Sub-section (1), (2) or (3), the dispute shall be resolved through mediation by a procedure deemed appropriate by the mediator with the consent of the parties, having regard to the nature of the dispute and the desire of the parties for a swift resolution of the dispute.

(5) While adopting the procedure pursuant to Sub-section (4), the following procedure shall be determined, among other things:-

- (a) To have the parties present their respective claims and contentions before him/her,
- (b) To meet with the parties individually or collectively,
- (c) To request any information, evidence or document from the parties,
- (d) To allow the other party to see the information, evidence or document requested pursuant to clause (c),
- (e) To have the parties present alternative bases that could resolve the dispute by removing the differences between them.

(6) Notwithstanding anything contained elsewhere in this Section, the Council may prepare and issue a model procedure regarding the process of dispute resolution. 16.

Resolution of dispute: (1) If the parties agree to mediate the dispute while adopting the procedure pursuant to Section 15, the mediator shall prepare a mediation deed mentioning such fact, have the parties sign and affix their thumbprint on such document, and sign it himself/herself as well. (2) A copy each of the deed pursuant to Sub-section (1) shall be provided to each party. (3) If a mediation deed is prepared pursuant to Sub-section (1), the dispute shall be deemed to have been resolved. (4) In a dispute specified to be resolved through mediation pursuant to Sub-section (3) or (4) of Section 3, if the parties agree to mediate, the mediator shall produce the parties to the case before the case hearing body along with the mediation document. (5) Upon receipt of the compromise deed pursuant to Sub-section (3), the case hearing body shall cause the parties to compromise according to the prevailing law. (6) Notwithstanding anything contained in the prevailing law, no fee shall be levied when compromising pursuant to Sub-section (5). Added by the first amendment.(6A) Notwithstanding anything contained in the prevailing law, if a compromise is made pursuant to Sub-section (5), the case hearing body shall refund the amount deposited as court fee by the party at the time of filing the case to the concerned party. (7) Notwithstanding anything contained in the prevailing law, in a case where imprisonment or fine or both have been imposed by a lower court or quasi-judicial body, if mediation takes place, the court may, considering the circumstances, order the remission or reduction of such imprisonment or fine. 17. Termination of mediation procedure: The mediation procedure shall be terminated in the following circumstances:- (a) If the parties do not agree to mediate while adopting the mediation procedure pursuant to Section 15, (b) If the parties do not appear before the mediator on the date specified by the case hearing body, (c) If any party fails to appear on the date fixed for discussion by the mediator and the mediation work cannot proceed, (d) If the parties agree to the terms of mediation and a deed is prepared. 18.

Report to be submitted: (1) In the circumstance of clause (a), (b) or (c) of Section 17, the mediator appointed pursuant to Sub-section (3) or (4) of Section 3 shall submit a report of such fact to the case hearing body within seven days. (2) Upon receipt of the report pursuant to Sub-section (1), the case hearing body shall conduct proceedings and settle such case according to law. (3) If a time limit has been specified for mediation and a compromise deed is not presented pursuant to Sub-section (4) of Section 16 even within ten days after the expiry of such period, or a report pursuant to Sub-section (1) is not submitted, the case hearing body shall conduct proceedings and settle such case according to law. 19. Dispute not to be heard: A person who has acted as a mediator in any dispute pursuant to this Act shall not be deemed eligible to hear the dispute as a legal practitioner, arbitrator or judge in the same dispute between the same parties. Chapter-4 Provision relating to Certificate of Mediator and its Regulation 20. Application to be submitted for certificate: (1) For the purpose of Sub-section (4) of Section 3 or Sub-section (2) of Section 9, a person wishing to work as a mediator shall submit an application to the Council in the prescribed format for a certificate. (2) A person submitting an application pursuant to Sub-section (1) shall attach the certificate of citizenship and copies of certificates of qualifications required to be a mediator along with the application. 21. Provision relating to certificate: (1) Upon examining the application received pursuant to Section 20, if it appears reasonable to grant a mediator's certificate to the applicant, the Council shall issue a certificate in the prescribed format. (2) The certificate issued pursuant to Sub-section (1) shall remain valid for three years and such certificate may be renewed as prescribed. (3) If the qualification pursuant to Section 22 required to be a mediator is not possessed, or if he/she performs fraudulent or forged acts while performing work, the Council shall, after completing the prescribed procedure, cancel the mediator's certificate. (4) A Amended by the first amendment. mediator's certificate obtained pursuant to the prevailing law before the commencement of this Act shall be deemed to have been obtained pursuant to this Act. 22.

Qualification of mediator: (1) The following persons shall be qualified to be a mediator:- (a) A Nepali citizen,

(b) Having completed the age of twenty-five years, (c) Having at least a Bachelor's degree from a recognized educational institution, (d) Having undergone training of a prescribed period relating to mediation, (e) Being of sound mind, (f) Not having been punished by a court on a criminal charge involving moral turpitude, (g) Not having been declared insolvent, and (h) Not having had his/her name removed from the list of mediators for doing any act contrary to this Act. (2) Notwithstanding anything contained in clauses (b), (c) and (d) of Sub-section (1), if the parties themselves propose a person to be a mediator, a person who has completed the age of twenty-five years and knows basic reading and writing shall be qualified to be a mediator even if he/she has not undergone mediator training. (3) Notwithstanding anything contained in clause (a) of Sub-section (1), a foreign citizen shall not be barred from being a mediator while resolving a dispute involving a foreign person or a dispute pursuant to a contract with a foreign person. 23. Provision relating to institution performing mediation related work: (1) An organized institution registered pursuant to the prevailing law with the objective of conducting mediation pursuant to this Act between parties shall, for obtaining approval to implement or cause to implement its objective, submit an application to the Council in the prescribed format mentioning the following matters:- (a) Name and registration number of the institution, (b) Names of office bearers of the institution, (c) Copy of the mediation related procedure or regulations made by the institution to resolve disputes, (d) Place where the institution wishes to conduct mediation. (2) Upon examining the documents including the application received pursuant to Sub-section (1), if the mediation procedure or regulations made by the applicant institution and other details appear suitable, the Council shall grant approval upon collecting fee as prescribed. 24. List of mediators to be maintained: (1) An institution that has obtained approval pursuant to Sub-section (2) of Section 23 shall, in order to facilitate the resolution of any dispute, prepare and publish a list of persons who may act as mediators. (2) In the list pursuant to Sub-section (1), the qualification, experience and contact address of the persons included in the list shall be mentioned, among other things. (3) The parties to the dispute may select a mediator from the list maintained pursuant to Sub-section (1), subject to the procedure or regulations made by the concerned institution. 25.

Mediation related procedure or regulations to be approved: (1) An organized institution established pursuant to the prevailing law to perform mediation related work for resolving any dispute may prepare a procedure or regulations by determining the process to be adopted while performing such work. (2) The procedure or regulations prepared pursuant to Sub-section (1) shall be implemented after obtaining approval from the Council. Chapter-5 Constitution, Functions, Duties and Powers of the Council 26. Constitution of the Council: (1) For the purpose of regular improvement, modification, regulation and control of the procedure for resolving disputes through mediation, among other functions, a Mediation Council shall be constituted as follows:- (a) A sitting judge of the Supreme Court appointed by the Chief Justice on the recommendation of the Judicial Council - Chairperson (b) Amended by the first amendment. Secretary, Ministry of Law, Justice and Parliamentary Affairs ? Member (c) Amended by the first amendment. Secretary, Ministry of Federal Affairs and Local Development ? Member (d) Deputy Attorney General, Office of the Attorney General ? Member (e) Secretary General, Nepal Bar Association ? Member (f) One person designated by the Council from among the representatives of associations/institutions working in the industrial and commercial sector ? Member (g) Two women designated by the Council from among mediators or representatives of institutions involved in mediation work or persons working in the field of mediation ? Member (h) Two persons designated by the Council, including at least one woman, from among social workers and representatives of civil society ? Member (i) Registrar, Supreme Court ? Member-Secretary (2) The term of office of the members pursuant to clauses (f), (g) and (h) of Sub-section (1) shall be three years. (3) The secretariat of the Council shall be located at the Supreme Court. Added by the first amendment. (4) Notwithstanding anything contained in Sub-section (3), until suitable space is available at the Supreme Court for the secretariat of the

Council, the secretariat may be kept elsewhere. 27.

Functions, duties and powers of the Council: Except as otherwise provided elsewhere in this Act, the functions, duties and powers of the Council shall be as follows:- (a) To conduct or cause to conduct various programs that encourage the resolution of disputes through mediation, (b) To simplify the procedure for dispute resolution through mediation and suggest to the Government of Nepal to reform the prevailing law for the widespread use of such procedure, (c) To approve the curriculum for training to be provided to mediators and designate institutions to conduct such training, (d) To monitor and evaluate the institutional capacity and quality of training of institutions providing mediation related services, (e) To conduct or cause to conduct training and interaction programs for the enhancement of the competence of mediators, (f) To prepare a model of a permanent structure for community mediation at the local level and recommend it to the Government of Nepal for implementation, (g) To monitor or cause to monitor the work of mediators, (h) To cause an investigation into whether or not a mediator has observed the code of conduct and take action in case of non-observance, (i) To perform or cause to perform other mediation related work. 28. Procedure relating to meetings: (1) A meeting of the Council shall be held on the date, time and place fixed by the Chairperson of the Council. (2) If more than fifty percent of the total number of members of the Council are present, the meeting of the Council shall be deemed to have a quorum. (3) The meeting of the Council shall be chaired by the Chairperson of the Council, and in his/her absence, by a member chosen from among the members present in the meeting. (4) The opinion of the majority in the meeting of the Council shall prevail, and in case of a tie, the person chairing the meeting shall cast the decisive vote. (5) The decision of the meeting of the Council shall be certified and kept by the Member-Secretary of the Council. (6) Other procedures relating to the meeting of the Council shall be as determined by the Council itself. 29. Mediation Monitoring Committee: There shall be a Mediation Monitoring Committee as prescribed to monitor mediation related work at the local level. 30.

Mediation related Fund: (1) There shall be a Fund under the Council to perform the necessary work for the effective operation of mediation related work and activities. (2) The Fund pursuant to Sub-section (1) shall consist of the following amounts:- (a) Amount received from the Government of Nepal, (b) Amount received from foreign governments, domestic or foreign persons, associations or institutions, (c) Amount received by the Council at the time of granting approval to an institution performing mediation related work, (d) Amount received from other sources. (3) Before receiving any amount from a foreign government, person, association or institution pursuant to clause (b) of Sub-section (2), the Council shall obtain approval from the Government of Nepal. (4) The amount received pursuant to Sub-section (2) shall be deposited by opening an account in any commercial bank in the name of the Council. (5) The operation of the account opened pursuant to Sub-section (4) shall be carried out by the head of the secretariat of the Council and such other employee designated by the Council. 31. Use of Fund: The amount deposited in the Fund pursuant to Section 30 shall be spent on the following work:- (a) To implement the decisions made by the Council, (b) To operate the secretariat of the Council, (c) To regularly improve, modify and simplify the mediation procedure, (d) To conduct training, instruction and seminars relating to mediation. 32. Accounts and audit: (1) The accounts of income and expenditure of the Fund shall be maintained in the format adopted by the Government of Nepal. (2) The Council shall cause an internal audit of the accounts of the Fund to be conducted according to the prevailing law. (3) The final audit of the income and expenditure of the Fund shall be conducted by the Auditor General. Chapter-6 Special Provision relating to Community Mediation 33.

Community based dispute resolution: (1) A dispute that can be resolved through mediation pursuant to this Act may also be resolved through a mechanism relating to community based mediation. (2) To facilitate the

resolution of a dispute pursuant to Sub-section (1), the concerned community may prepare a group of mediators after the dispute arises or even before the dispute arises. (3) The group pursuant to Sub-section (2) may include the following persons:- (a) Reputed persons of the local community, (b) Persons designated by community institutions working at the local level, (c) Local social workers, (d) Teachers or professors working in schools or colleges at the local level. (4) While preparing the group pursuant to Sub-section (3), representation of women in an appropriate number shall be ensured as per necessity. 34. Community mediation: (1) There shall be a necessary number of mediators to facilitate the resolution of disputes through community based mediation. (2) The mediators pursuant to Sub-section (1) shall assist the parties in resolving the dispute. (3) While providing assistance pursuant to Sub-section (2), the mediators shall encourage the parties to the dispute to reach an agreement among themselves, to settle the dispute in a mutually acceptable manner, and not to treat the resolution of the dispute through community based mediation as a win or loss. (4) Non-governmental organizations working at the local level may provide necessary technical and other assistance to community based mediators in the work of facilitating dispute resolution. (5) For the purpose of resolving a dispute through community based mediation, an assembly of members of the concerned community may determine the necessary procedure. (6) When resolving a dispute through community based mediation, the outcome resolved through mediation may be recorded in writing at the local level. (7) Other arrangements relating to resolving disputes through community based mediation shall be as prescribed. 35. Providing training and technical services: (1) For resolving disputes through community based mediation, the concerned Amended by Some Nepal Acts Amendment Act, 2072. Rural Municipality and Municipality may provide necessary technical services to community based mediators. (2) To provide necessary training to community based mediators for developing their competence in conducting mediation, the Government of Nepal may mobilize national or local level non-governmental organizations or community based organizations as required. Chapter-7 Miscellaneous 36. Duty of party: It shall be the duty of a party to appear before the mediator on the date and time specified pursuant to the order of the case hearing body, and to appear at the place and date specified by the mediator to appear in the course of mediation proceedings and participate in the mediation proceedings. 37.

Process relating to mediation to be kept confidential: Except where the parties have otherwise provided or the prevailing law has otherwise provided, all procedures relating to mediation conducted by the mediator shall be kept confidential. 38. Not admissible as evidence: Notwithstanding anything contained in the prevailing law, any matter expressed by a party in the course of resolving a dispute through mediation pursuant to this Act shall not be admissible as evidence in a case filed by such party as a plaintiff or defendant. 39. Result of mediation to be binding: If a dispute is resolved through mediation pursuant to this Act, the result thereof shall be binding on the parties and the parties shall implement it. 40. Implementation of compromise: (1) Notwithstanding anything contained in the prevailing law, in relation to a dispute under Sub-section (3) or (4) of Section 3, the concerned party shall implement such compromise within forty-five days from the date of compromise pursuant to this Act. (2) If the concerned party does not implement the compromise pursuant to Sub-section (1) within the period specified in Sub-section (1), the concerned party may submit a petition to the body related to the subject matter of the compromise for the implementation of the compromise. (3) Upon receipt of a petition pursuant to Sub-section (2), such body shall cause such compromise to be implemented according to the prevailing law. 41. Role of facilitator to be played: (1) While resolving a dispute, the mediator shall assist the parties in a friendly manner to resolve the dispute independently and impartially. (2) While providing assistance pursuant to Sub-section (1), the mediator shall always be guided by the principles of impartiality, objectivity, transparency and justice, paying attention to the rights and obligations of the parties, the practice and custom of the subject matter in case of a dispute of a commercial nature, and the traditions,



practices and accepted norms relating to dispute resolution available in the concerned community if the dispute was resolved through a community based mechanism. (3) While assisting to resolve a dispute pursuant to this Act, the mediator shall not play the role of a judge, arbitrator or legal advisor, but only the role of a facilitator. 42. Mediator not to disclose information: Any information given by a party in the course of the mediation process, or any matter or fact that comes to the knowledge of the mediator during mediation shall not be disclosed in a manner detrimental to the interest of any party. Provided that, nothing in this Section shall be deemed to prevent the disclosure of such known matter before a competent court according to law in any criminal offense. 43.

Remuneration: (1) A mediator may, upon obtaining consent of both parties, take remuneration for working as a mediator not exceeding the prescribed amount. (2) In the absence of consent of the parties pursuant to Sub-section (1), the mediator shall receive remuneration as determined by the Council for conducting mediation. 44. No action to be taken against mediator: No legal action shall be instituted against a mediator in relation to any work done by him/her in good faith in the course of performing his/her duty. 45. Delegation of power: The Council may delegate some of the powers conferred to it pursuant to this Act to any body or officer as required. 46. Case may be sent to Amended by Some Nepal Acts Amendment Act, 2072. local level for mediation: (1) Notwithstanding anything contained elsewhere in this Act, nothing contained in this Act shall be deemed to prevent This Act is now repealed.the subject of resolving a dispute through mediation pursuant to the Local Self-Governance Act, 2055. Provided that, until Sections 33 and 101 of that Act come into effect, if a court or quasi-judicial body deems it reasonable to send a case pending before it to the Amended by Some Nepal Acts Amendment Act, 2072. local level for mediation, such case may be sent to such body after obtaining the consent of the concerned party and the concerned Amended by Some Nepal Acts Amendment Act, 2072. local level. (2) If a case is sent to the Amended by Some Nepal Acts Amendment Act, 2072. local level for mediation pursuant to Sub-section (1), the concerned body may, adopting a separate procedure as required, cause mediation between the parties of such case. 47. Code of conduct may be framed and implemented: The Council may frame and implement a code of conduct to be observed by mediators. 48. Power to frame rules: For the purpose of implementing the objectives of this Act, the Government of Nepal may frame necessary rules in consultation with the Supreme Court.